

The reviewers have done a thorough job in their responses and revision of the paper. I particularly appreciate a more balanced tone throughout the paper, and the substantial data collection to expand the data from 1926 to 1940. Overall, I find the new version more compelling, and it makes a valuable contribution to the literature. There are a couple of minor issues that I would like to highlight.

First, I appreciate the improvement in measuring $d(it)$ relative to all long-term obligations involving fixed contractual payments, but this only partly addresses my concerns. Preferred shares are not interest bearing, and thus may behave quite differently than debt during downturns or when firms are close to distress. I understand that there is nothing the author can do about this because bank debt is simply too small, but the paper should acknowledge this limitation more clearly and briefly discuss the potential confounders that cannot be addressed due to how firms structured their debt at that time.

I appreciate using 1936-37 as a placebo. While this helps address concerns about downturns driving the results, there are other important macro differences between both periods—such as the collapse of bond issuance, that limited rollover—that may affect exposed firms more in 1933-34 beyond the uncertainty of the abrogation of the gold cause. That is, the placebo helps but only for a subset of the concerns about confounders. To that end, the robustness regressions are more helpful. Though the findings are broadly reassuring, they do point to either the thinness of the data or a lack of robustness. The authors cannot control for industry $\times$ year and $X_{it} \times$ year at the same time, so the fixed effects vary across specifications in Table 6. The paper argues this is done “*To assess robustness to firm-level controls separately from industry-level controls, this specification omits industry-year fixed effects.*” This sounds like a copout. Given the concerns of New Deal policies as confounders, which may have affected firms differently given their characteristics, one may want to control for both. My sense is that they lack power, as even without the industry-year FEs the significance is lost for 1934 $\times$ d across several specifications for Columns 2-10. I would like to see the results with industry-year FEs for these columns as well. If significance is lost across the board, then the paper should acknowledge it and make its best case to defend their preferred specifications due to limited power—but readers should know whether the effects are sensitive so they can pass their own judgement.

The authors made no comment about the fact that the 1933 and 1934 coefficients do not seem statistically different than the 1930 effects (Figure 3).

One small comment—my understanding (though I could be wrong) is that repurchases in the open market were not allowed post 1929. I imagine the main reason driving the decline in shares was reorganizations. If that is the case, it is not obvious one would want to include this if the point of the analysis is to estimate whether firms were using payout policy to preemptively give the cash to shareholders. That said, the results in Table 4 show that the effects are driven by dividends, not repurchases, so this is mostly about guiding modern readers on what firm policies were in the 1930s.